



**Maximizing Commercial Insurance through
Technology and Risk Management**

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Paradigm Shift and Market

The Alternative Risk market is a fast growing market driven by the desire of businesses looking to gain control over their “insurance destiny”

1 Inefficient System

Crowded transaction flow space with lack of value added customer centric technology

2 Social Inflation and Market Crises

Negative public sentiment towards large businesses and increased litigation financing

3 Loss of Trust

Insurance company attitudes in response to COVID claims resulting in loss of relationship with clients

4 Problematic Business Models

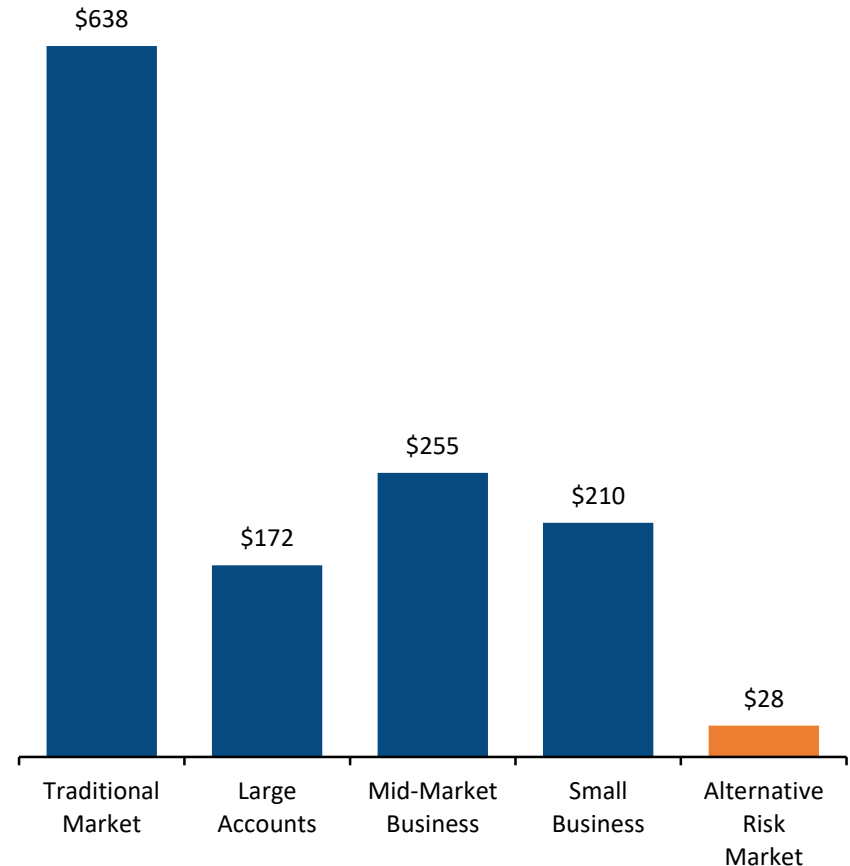
Businesses held hostage in current alternative programs, unable to access the excess of loss (XOL) reinsurance market

5 Technology Transformation

New entrants focused on cost reduction and efficiency – rise of InsurTech

Commercial P&C Market Size⁽¹⁾

(\$ in billions)





Program Summary

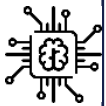


Insurance Coverages

Tailored coverages for Commercial Automobile, Workers Compensation, General Liability, Excess

Primary

Excess



Commercial Auto



General Liability



Workers Compensation



*In Excess of Primary General Liability,
Commercial Auto, Employers' Liability*

Variable Cost Insurance Programs Energy.

Variable cost captive insurance programs are outperforming the traditional market and a more viable solution – Members assume risk and control their own destiny. eMaxx has developed Member owned variable cost captive insurance solutions through eCaptiv, a sponsored captive reinsurance company in Vermont.

About & Advantages.

- Ability for Members to receive underwriting profits and dividend returns
- Investment Income accumulates to the benefit of the Members
- Members manage their own insurance program through participation on Board of Directors and Governing Committees
- Reduction of program operating costs with sponsored captive reinsurance company structure
- Ability to have more control over insurance costs with favorable loss experience and potentially insulate from large premium swings
- Tailored coverages for Commercial Automobile, Workers Compensation, General Liability
- Access extensive Claims Management and Loss Prevention and Safety programs
 - Innovative Litigation Management program
 - Industry-specific packages for loss control and training that can be customized for each individual Member
 - Web-based educational and training platforms including eLive Connect
- Adoption of risk management technology programs such as dash cameras, telematics and online training as key elements in combating nuclear punitive damage judgments and commercial auto trends
- Traditional collateral solutions such as cash and letters of credit along with proprietary and non-proprietary off balance sheet alternatives

Target Classes

- Fuel Distribution
- Energy Transportation
- Energy Construction
- Renewables
- Agricultural Cooperatives
- Utilities

Insurance Coverages

- Workers' Compensation
 - Statutory Coverage
 - Employers' Liability
- General Liability
 - Product Liability
 - Completed Operations
 - Pollution
- Commercial Auto
 - Property Damage
 - Bodily Injury
 - Auto Physical Damage
 - Upset & Overturn/Sudden & Accidental Pollution
- Excess

For more information on the program, please visit us.

www.emaxxgroup.com

Variable Cost Insurance Programs Specialty.

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Target Classes

- Debris Removal
- Equipment and Material Transport
- Farm to market hauling
- Garbage, Local Collection and Transport (without disposal)
- Hauling – by Dump Truck
- Refuse, Local Collection and Transporting (without disposal)
- Towing and Roadside Assistance

Insurance Coverages

- Workers' Compensation
 - Statutory Coverage
 - Employers' Liability
- General Liability
 - Product Liability
 - Completed Operations
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Variable Cost Insurance Programs Crane & Rigging

Variable cost captive insurance programs are outperforming the traditional market and a more viable solution – Members assume risk and control their own destiny. eMaxx has developed Member owned variable cost captive insurance solutions through eCaptiv, a sponsored captive reinsurance company in Vermont.

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Target Classes

- Crane Rental with operator
- Crane Rental without operator
- Steel Erection
- Rigging - outside above operations
- Millwright - machinery moving & installation
- Sales of Equipment – new and used
- Heavy Hauling – transportation of equipment
- Rental of Equipment with operator
- Rental of Equipment without operator
- Equipment Rental Hoist with operator
- Equipment Rental Hoist without operator
- Warehouses

Insurance Coverages

- Commercial Auto
 - Property Damage
 - Bodily Injury
 - Upset & Overturn / Sudden & Accidental Pollution
 - Auto Physical Damage
 - Mobile Cranes per state requirements
- General Liability
 - Products Liability
 - Completed Operations
 - Rigger's Liability
- Workers' Compensation
 - Statutory Coverage
 - Employers' Liability
- Excess



Claims and Litigation Management



Environmental Claims Management

Industry experts and experience handling environmental losses



Accident Reconstruction

Construction reconstruction techniques including 3D imaging



Fire & Explosion (Cause & Origin)

I.A.A.I and N.A.F.I. certified experts



Litigation Management

Legal resource for members and claims management team



Official Disability Guidelines (ODG)

Sets initial reserves for claims utilizing ODG based on demographics



Nurse Case Management

Identifies opportunities to intercede on "trigger injuries"



Early Return to Work

Places injured workers with non-profits when light duty roles aren't available



InsurCard & Virtual Card

Reduces fraud, helps avoid overpayments and lowers cost



Nurse Triage

24hr hotline program for all new workers' compensation claims



Provider Bill Review

Partners with specialty groups and NARS to review all medical bills



Special Account Instructions

Allows members to tailor their own claims experience



Reserve and Claim Settlement

All members consulted on claims over \$10,000



Claim Huddles

If claims have significant injuries, members invited to the discussion



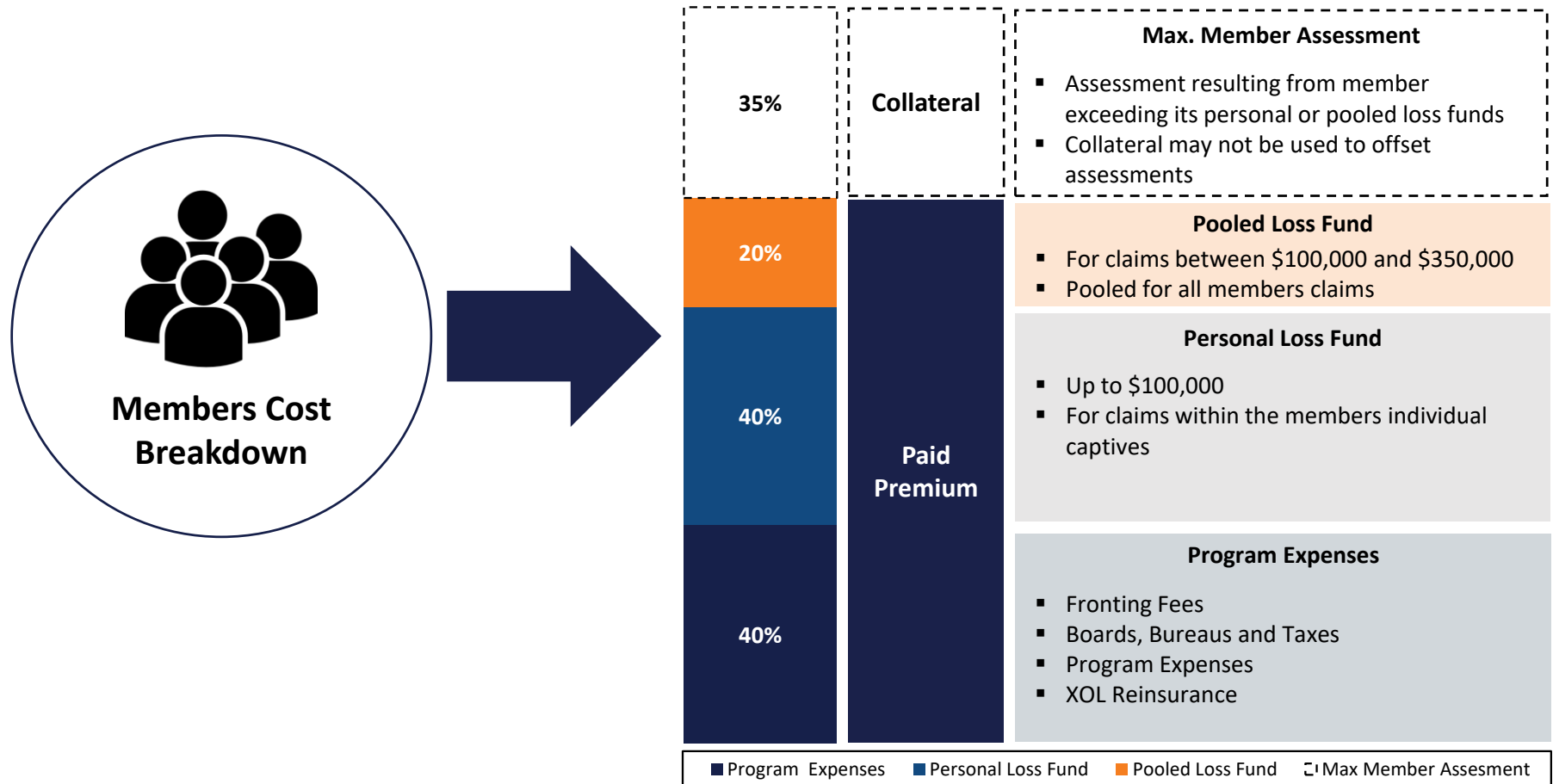
Quarterly Risk Management Reviews

Quarterly review meetings to review all open claims



Variable Cost Captive Structure

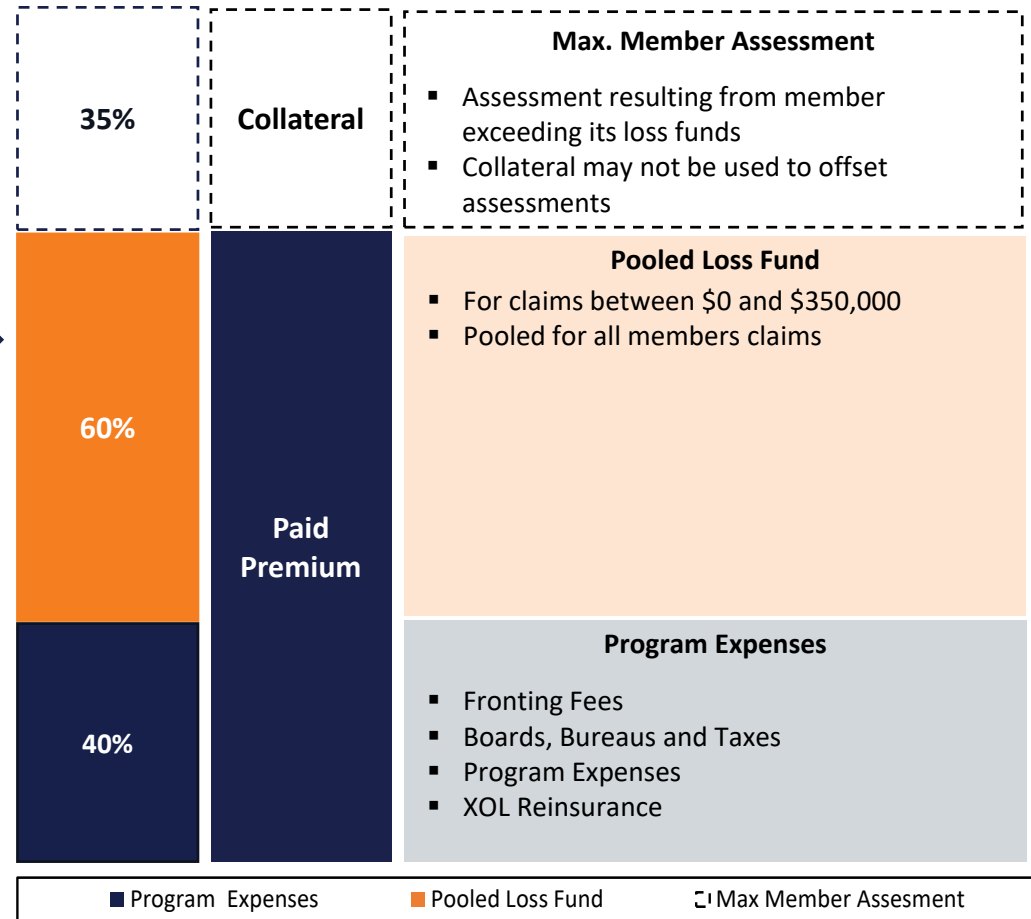
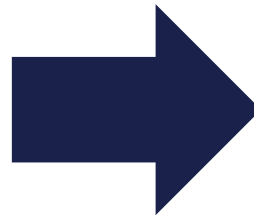
Pooled and Personal Loss Funds





Variable Cost Captive Structure

Pooled Loss Fund



Dividend & Premium Returns

Protected Cell may, only if there exists surplus and is approved as required, initiate dividends to Members

- Distributed after the program's third calendar year
- Pro-rata by premium amount paid and historical incurred loss ratio

Incurring Loss Ratio	Dividend Amount
0% – 25%	100%
26% – 40%	60%
41% – 50%	20%
51% – 60%	10%
61% – 85%	0%
Above 85%	10% Assessment

Subject to written approval from Board of Directors, Members, Vermont Department of Financial Regulation, and Primary Insurer



Governance

Sponsored captive insurance company structure with each protected cell having own insurance and risk management programs

Executive

Comprised of Members that are appointed by the Board; Chairman/President, First Vice President, Treasurer and Secretary serving on Committee

Investment & Audit

Reviews interim and audited financial statements and monitors each Member's compliance with their financial obligation; Coordinates with the Executive Committee and investment management company on policies for the investment

Underwriting & Actuarial

Advises the Board on desirable risks to be assumed, ensures that those risks are adequately underwritten and determines other insurance programs that could be offered to Members

Risk Management & Technology

Sets loss control goals for the Members; Reviews loss control objectives and works with Members to meet the required loss control

Claims Management

Identifies claims management goals for the Members

Membership Development

Works in conjunction with the program administrator to target potential new Members and acts as the reference committee

***Managed by the Board of Directors and Executive Committee
Annual Meeting held at Annual Risk Management Summit***

Loss Prevention & Safety



Training and education, recommendations on best practice implementation, and identify products that can be incorporated to improve the Member's overall working environment and culture

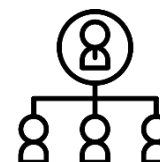
Complimentary

- *Compliance Audit (Phone and on-site) evaluating the level of commitment to safety, ensures applicable regulations are being followed and assists in identifying areas of improvement*
- *Warranty/Recommendations Tracking & Follow-up may identify specific tasks to be completed*



Additional Training

- *Billed against an annual retainer charged when the policy is bound*
- *Services that exceed the retainer will be billed*
- *If the retainer is not used in a policy years, this will not be applied for the following year*



Programs & Services

Complimentary and a la carte services

Bundled Package Plan

- *Develop training based on Members' historical loss experience, current company policies and industry sector*
- *Online training via eLive Connect, a proprietary web-based learning center*
- *Telematics Management Services through Telematics Exchange*
- *Motor Vehicle Records (MVRs) Monitoring through Embark Safety*



Risk Management Summit

- *Technology, Risk Management, Loss Prevention, Claims & Litigation Members Education*
- *Networking with Members and Industry Experts*
- *Annual eCaptiv Meetings*





Risk Management Technology

Members committed to risk management technology and adopting necessary safety measures. Risk measures has resulted in a reduction in frequency and reduced the severity of claims

Requirements

- Cloud-based forward-facing dash cameras are required prior to binding coverage on all lettered and non-personal vehicles including light trucks, medium trucks, heavy trucks, extra heavy trucks, truck tractors, heavy truck tractors and extra heavy truck tractors
- Vehicles must be equipped with telematics to monitor speed, routes, and overall driver safety
- Members that are not equipped with telematics must be willing to implement and evidence a signed agreement with an acceptable Telematics Service Provider within thirty (30) days of binding coverage
- Installation of applicable hardware in vehicles is required

May be Recommended

- Dual Vision Cameras with side view capability
- Collision avoidance systems
- Side guards
- Cell phone block technology

Preferred Technology Partnerships



FQWIRELESS





Premium Payments & Collateral

Premium Payment Options Due at Binding

1

Cash

Full Premium amount paid in cash to FIRST Insurance Funding

2

Premium Financing

Initial Premium payment paid in cash along with an executed Finance Agreement with FIRST Insurance Funding and remanding balance payable as per the terms and conditions of Finance Agreement

Collateral Options Due at Binding

1

Cash

Full Collateral amount paid in cash to FIRST Insurance Funding

2

Collateral Financed

Executed Collateral Addendum to FIRST Insurance Funding Finance Agreement ; or
NAIC compliant Irrevocable Letter of Credit (ILOC) issued by an acceptable financial institution with language acceptable to Fronting Company

3

Surety Bond

Available for years two and three, subject to underwriting approval

Brokers are unauthorized to collect payment or utilize alternative financing for premiums and/or collateral



Client Code:	Effective Date: Click here to enter a date.	Need By Date: Click here to enter a date.	Domiciled State:
Account Name:		Broker Contact:	
RDM: Choose an item.	Account Manager: Choose an item.	☐ Fuel Dealer ☐ Transport ☐ Other:	
Lines of Business:	☐ GL ☐ Auto	☐ WC ☐ Excess	☐ Property ☐ MTC

NEED PRIOR TO SETTING UP SUBMISSION

CONCEPTUAL IP REQUIREMENTS	Received	Notes
5 Years Exposure History	☐	
5 Years Premium History	☐	
5 Years Currently Valued Loss Runs (90 days)	☐	
Vehicle Info: GVWs, Class Codes, VINs, Cost News	☐	
WC Experience Mod (if applicable)	☐	
Property Spreadsheet (non-captive; if applicable)	☐	
Equipment Schedule (non-captive; if applicable)	☐	

BOARD & CARRIER APPROVAL	Received	Notes
Applicable Supplemental Applications	☐	
Audited Financial Statements (most recent two years-profit and loss statement & balance sheet)	☐	
Drivers List	☐	
MVRs for all listed Drivers	☐	
Large Loss Details	☐	
Telematics Data (if applicable)	☐	
DOT Pin	☐	

QA Reviewer:	Date:	



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